

Class 14

Immigration and Assimilation

Part III — Mobilizing People and Expanding Opportunity

The American Economy — draft course materials (proposal under discussion)

The point of today's class

Immigration has been one of America's major growth institutions — expanding labor, entrepreneurship, innovation, cities, and pluralism — while also generating real distributional pressures and political backlash. The economist's question about any immigration claim: compared with what counterfactual, over what horizon, and for whom?

Why it matters

- ▶ 2024: more than 50 million foreign-born residents — 14.8% of the population, matching the share recorded in 1890. The *number* is unprecedented; the *share* is not.
- ▶ America has absorbed wave after wave: colonial settlers and religious dissenters; Irish, Germans, and Scandinavians; Italians, Jews, and Eastern Europeans; Chinese and Japanese; Latin America and Asia today.
- ▶ Two bad stories to reject:
 - ▶ “immigrants simply take jobs from natives” — too simple
 - ▶ “immigration is costless and worries are irrational” — also too simple
- ▶ Immigrants are workers, consumers, entrepreneurs, taxpayers, parents, inventors, neighbors, and voters — all at once.

Today

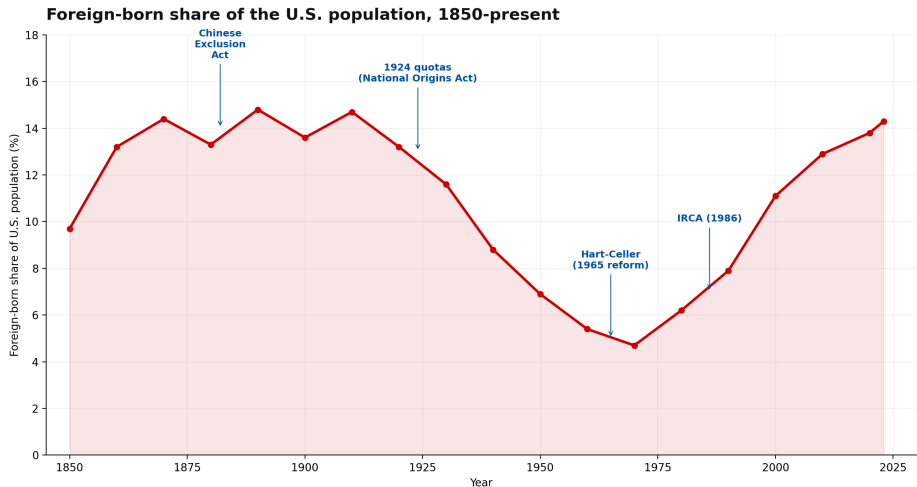
1. Rung 4 of the opportunity ladder: arrive
2. Religious liberty, LDS migration, and Utah
3. Assimilation: what actually happened
4. Do immigrants lower native wages? The Mariel lesson
5. Job takers or job creators?
6. GDP, deficits, and who pays
7. Backlash and the politics of restriction

The opportunity ladder: rung 4 — arrive

Rung		Class
8	rise	the American Dream and mobility
7	move	cities, housing, and place
6	belong	race, migration, and opportunity
5	choose	women, work, and family
4	arrive	immigration and assimilation — today
3	learn	education and human capital
2	bargain	labor markets and worker power
1	own your labor	free and coerced labor

- ▶ Education builds human capital at home; immigration brings people, skills, ideas, families, and firms from abroad.
- ▶ Immigration policy is the institution that decides **who may join the growth machine**.

Foreign-born share of the U.S. population, 1850–present



Source: Migration Policy Institute, U.S. Census Bureau data. 14.8% in 2024, near the 1890 peak.

Religious liberty, LDS migration, and Utah

- ▶ Religious liberty is one reason people migrate — Puritans, Quakers, Catholics, Jews, LDS converts, refugees — and one of the institutions that makes pluralism work after they arrive.
- ▶ Utah-local: by 1900, roughly 50,000 Latter-day Saint converts from the British Isles and 30,000 from Scandinavia had immigrated to the Intermountain West.
- ▶ Religious communities lower the costs of migrating and assimilating:

Institution	Assimilation role
Churches	Networks, mutual aid, identity
Schools	Language and human capital
Labor markets	Occupational mobility
Neighborhoods	Information and support
Marriage and family	Cultural integration
Civic life	Citizenship and belonging

Assimilation: what actually happened

- ▶ Age of Mass Migration: about 30 million Europeans arrived, 1850–1913.
- ▶ Abramitzky–Boustan–Eriksson (linked panel data): the average immigrant faced little occupation-based earnings penalty on arrival and advanced at about the same rate as natives.
- ▶ So the old “arrived poor, caught up fast” story is too simple: many immigrants were positively selected, and much assimilation happened *across generations*.
- ▶ Assimilation is multidimensional: earnings, language, names, marriage, neighborhoods, citizenship, children’s schooling.
- ▶ Names as economics: within families, more foreign-sounding names predicted worse schooling, employment, and marriage outcomes — assimilation has private returns and cultural costs, and identity responds to incentives.

Do immigrants lower native wages?

- ▶ The intuitive model: more workers in a skill group push down wages for close substitutes. True as far as it goes — but immigrants also change demand, firms, prices, cities, and innovation, not just labor supply.

May substitute for	May complement
Natives with similar skills nearby	Workers in different tasks
Earlier immigrants from the same group	Firms that need labor to expand
Low-skill non-tradable services	Consumers, via lower prices

- ▶ Key line: the effect is not “on workers” — it is on *particular workers in particular markets over particular horizons*.

Mariel: same event, better methods

- ▶ 1980: the Mariel boatlift raised Miami's labor force by about 7% almost overnight — a natural experiment.

Study	Basic takeaway
Card	Little effect on less-skilled wages or unemployment
Borjas (reappraisal)	Possible losses for a narrow low-skill group
Peri-Yasenov	Synthetic control: no significant wage decline

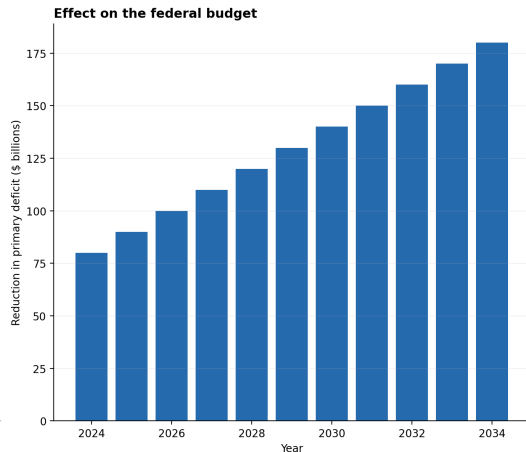
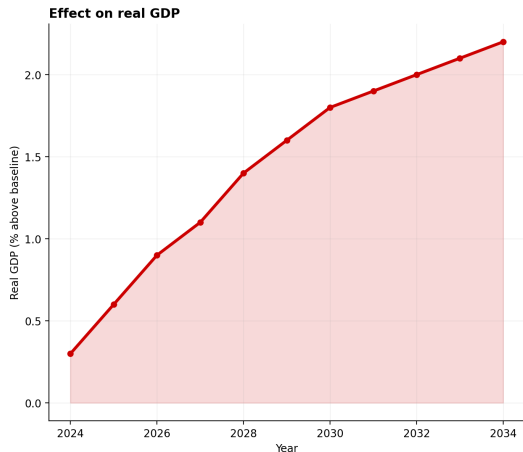
- ▶ This is not economics failing — it is economics working: same event, better data, different comparison groups, improved methods.
- ▶ Why so little wage effect? Capital adjusts, industries expand, firms change production methods, workers specialize, immigrants add demand (Lewis). Labor markets adjust in more ways than one graph allows.

Job takers or job creators?

- ▶ Azoulay, Jones, Kim, and Miranda (U.S. administrative data): immigrants play outsized roles in **high-growth entrepreneurship** — more “job creators” than “job takers.”
- ▶ Immigration expands *both* sides of the labor market: supply of workers and demand from new firms.
- ▶ Class 8 cross-reference (a reminder, not a repeat): American inventors were disproportionately mobile and foreign-born; German Jewish émigrés shifted U.S. invention; international students, scientists, and founders continue the pattern today.
- ▶ Immigration is one of the ways America imports *ideas*.

CBO: how the immigration surge affects GDP and the deficit

CBO: immigration surge raises GDP and reduces deficits



Source: Congressional Budget Office (2024), "Effects of the Immigration Surge on the Federal Budget and the Economy."

GDP, deficits, and who pays

- ▶ CBO (2024): the 2021–2026 immigration surge raises GDP by \$8.9 trillion over 2024–2034 and *reduces* federal deficits by \$0.9 trillion on net.
- ▶ More workers and consumers usually raise *total* GDP; the harder questions are per-person effects, distribution, legality, and local capacity.
- ▶ Fiscal effects differ by level of government:

Federal	State and local
Income and payroll taxes	Schools
Social Security / Medicare taxes	Hospitals
Federal transfers	Housing and infrastructure
Long-run debt effects	Local congestion

- ▶ National gains can coexist with concentrated local costs.

Backlash and the politics of restriction

- ▶ Tabellini (European immigration to U.S. cities, 1910–1930): immigration raised natives' employment and industrial production — yet triggered hostile political reactions and support for restriction.
- ▶ Backlash can arise even when measured local economic effects are not negative: identity, culture, religion, language, and perceived change all matter.
- ▶ Restriction is itself an institution:
 - ▶ 1882 Chinese Exclusion Act — the first major federal restriction; a 10-year ban on Chinese laborers
 - ▶ 1924 national-origins quotas — visas capped at 2% of each nationality's 1890 census population; Asian immigration excluded
 - ▶ 1965 reform — a new source-country mix
- ▶ Primary-source moment (Henry Cabot Lodge and the 1924 debates): what fears appear here — economic, cultural, religious, racial, political, or all of the above?

Discussion

A city of one million receives 80,000 immigrants over two years — most working-age, some high-skill, some low-skill, some starting firms, many with children. Predict the short-run and long-run effects on wages, rents, schools, entrepreneurship, tax revenue, and local politics. Who gains and who loses? Then the key question: what comparison city would you use to estimate the causal effect?

Read before next class

- ▶ Abramitzky and Boustan, *Streets of Gold* (excerpt) — the accessible assimilation synthesis.
- ▶ Card, “The Impact of the Mariel Boatlift on the Miami Labor Market” (skim the design); optional: Borjas’s reappraisal and Peri–Yasenov’s synthetic-control update.